Type MS · Exchange rates: meaning and what moves a currency

Answer 1 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **B** government revenue is greater than government expenditure	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **A** appreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is for business/consumer confidence **(1).** If prices of goods and services are stable at 3% **(1)** this can help consumers/firms plan for their future spending **(1).** • One reason is to keep Cyprus internationally competitive **(1).** This may lead to higher export sales if competitors have higher than 3% inflation **(1),** thus reducing unemployment **(1).** Accept any other appropriate response.	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 1 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Changes in the interest rates in South Africa will affect whether people will want to deposit money in South Africa • If South Africa has higher interest rates relative to other countries it will become more attractive to deposit money in South Africa • This is often referred to as hot money • Savers will get a better rate of return from saving in South African banks – now 6.75% • Therefore demand for the South African Rand will rise causing an appreciation of the currency	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Exchange rates: meaning and what moves a currency

Answer 1 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Cuts in business taxes can help provide a firm with additional funds to expand its factors of production • Lower business taxes can also provide an incentive to firms to increase investment thereby increasing output • This is likely to result in increasing GDP and employment • The US has already lowered business taxes from 35% to 21% and has plans to reduce this further to 15% • This could result in firms setting up in the US rather than other countries such as Mexico who have a business tax of 30% thereby increasing productive capacity and total output from the increased investment **AO4** • However, MNCs might be attracted to countries in Figure 3 such as Canada and Ireland which have lower business taxes compared to the US • Lowering business taxes by such a large percent may result in less tax revenue for the US government rather than any increase in investment if firms do not locate in the US • Less government revenue may result in less government investment • There is no guarantee that firms will reinvest the additional capital into expansion and could just give the saving in taxes to shareholders in the form of dividends

Type MS · Exchange rates: meaning and what moves a currency

Answer 1 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Exchange rates: meaning and what moves a currency

Answer 1 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

3(a)	**AO1 1 mark** **D** Higher taxation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **C** depreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is a fall in demand for Egyptian exports **(1).** Inflation of 17.7% makes domestic goods more expensive **(1)** so other countries may not buy Egyptian goods resulting in a deficit on the current account **(1)**. • One impact is an increase in imported goods **(1).** Inflation of 17.7% makes imports appear cheaper than Egyptian goods and services **(1)** so consumers prefer to purchase imports therefore having a negative impact on the current account **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 2 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Currency speculators have an impact on the exchange rate of a country due to supply and demand factors • Speculators will buy more currency if they believe that the exchange rate of the US$ will rise in the future. • The increase in demand for the currency causes the value of the exchange rate to rise compared to other currencies. • Conversely, the value of the exchange rate may fall if speculators sell a currency if they believe that the exchange rate will fall. • This causes a fall in the value of the currency due to an increase in the supply available. • The impact of speculators is often that their actions bring about what they predict will happen.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Exchange rates: meaning and what moves a currency

Answer 2 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The use of regulation could be an effective way to reduce usage especially as the fine of AUS$5 000 is very high • This could stop retailers issuing plastic bags to customers thereby reducing the chance of plastic bags ending up in litter • Most consumers and retailers will want to follow the regulations and will therefore not use plastic bags • This is supported by the Environment Minister who states that this is a popular policy with many people **AO4** • However, banning plastic bags by regulation and issuing fines does not mean its consumption will completely reduce demand • The plastic bags have been banned since 2018 but no fines have been given out for using the plastic bags • The effectiveness will also depend upon shoppers reporting retailers for giving out plastic bags • There needs to effective policing of the ban for it to work properly

Type MS · Exchange rates: meaning and what moves a currency

Answer 2 of 7 · Question 3 part d · 6 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Exchange rates: meaning and what moves a currency

Answer 2 of 7 · Question 3 part d · 6 marks

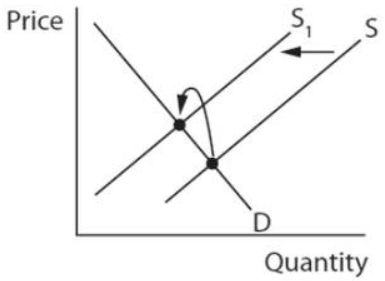
2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Exchange rates: meaning and what moves a currency

Answer 3 of 7 · Question 2 part d · 2 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** **C**  	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **A** Deregulation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Foreign competition • Increasing unemployment Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to price of a currency and 1 mark for reference to another currency The price of one currency **(1)** in terms of another currency **(1)** Accept any other appropriate response	**(2)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 3 of 7 · Question 2 part d · 2 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible way Award 1 mark for developing the possible way Award 1 mark for the response being in context • One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)** • One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)** Accept any other appropriate response	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 3 of 7 · Question 2 part d · 2 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as unemployment benefit, state pension and in this case, child benefit • The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes • Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society • Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments • This could be due to more working mothers being able to return to work and therefore being able to contribute to society **AO4** • However, increasing welfare benefits creates a disincentive to work • Many families may face the poverty trap and are often better off on benefits than working • The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income • Not all people are entitled to receive the child benefit which could result in resentment • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The Canadian Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 3 of 7 · Question 2 part d · 2 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Exchange rates: meaning and what moves a currency

Answer 3 of 7 · Question 2 part d · 2 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Exchange rates: meaning and what moves a currency

Answer 4 of 7 · Question 3 part b · 1 mark

2021 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **B** £321.7bn A is not correct because it includes indirect tax C is not correct because it does not include business tax D is not correct because it does not include income tax	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** selling its own currency A is not correct because this will increase demand for its currency B is not correct because this will increase demand for your own currency C is not correct because this will cause it to appreciate	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is an increase in exports **(1)**. Subsiding clothing by 4% can make exports more competitive **(1)**. This can result in greater export earnings and improve the current account **(1)** • One advantage is more domestic firms may enter the market **(1)**. Subsiding home appliances by up to 10% makes them more price competitive **(1)**. This can result in an increase in employment **(1)** Accept any other appropriate response	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 4 of 7 · Question 3 part b · 1 mark

2021 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	**Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation on petrol and diesel fuel would substantially increase the price of fuel for road users which could reduce the amount of journeys taken by cars and other road vehicles • Increased taxation could also raise additional revenue for the UK Government • This could be used to finance pollution reduction schemes and improve air quality in the UK • Taxation provides a market incentive for firms and consumers to switch to alternative forms of transport that may not cause as much environmental damage

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Exchange rates: meaning and what moves a currency

Answer 4 of 7 · Question 3 part b · 1 mark

2021 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	**Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • GDP is used to measure economic growth all over the world • This means that comparisons can be easily made between the growth rates of Ghana and different countries over time • Ghana has double the GDP growth rate compared to other emerging economies • GDP is also used as an indicator of a nation's overall standard of living because, generally, a nation's standard of living increases as GDP increases • Ghana was predicted to have a 8.8% GDP growth rate in 2019 and this could indicate an increase in living standards for the population **AO4** • However, using GDP to measure growth does have some limitations • Increases in inflation could distort the true rate of economic growth in Ghana and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy which are not included in GDP figures • GDP does not take into account external costs such as environmental costs and as a result GDP does not measure how these impact on the wellbeing of society • Ghana is becoming heavily reliant on oil which can have many associated external environmental costs • GDP figures do not reflect how additional income is distributed between the population of Ghana and much of the growth may not be evenly distributed amongst the population of Ghana who still may remain in poverty

Type MS · Exchange rates: meaning and what moves a currency

Answer 4 of 7 · Question 3 part b · 1 mark

2021 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Exchange rates: meaning and what moves a currency

Answer 4 of 7 · Question 3 part b · 1 mark

2021 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Exchange rates: meaning and what moves a currency

Answer 5 of 7 · Question 1 part g · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part g in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 5 of 7 · Question 1 part g · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

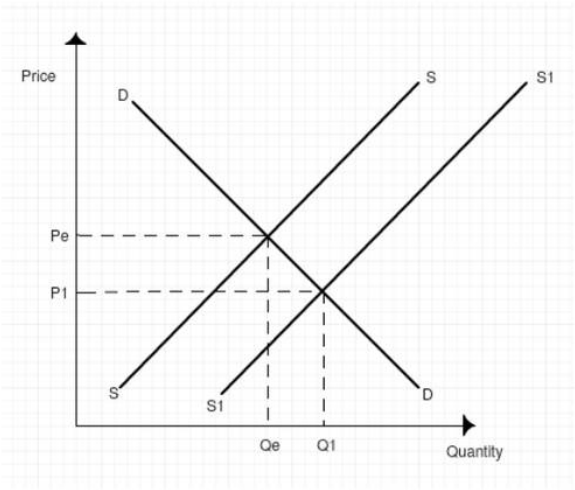
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 5 of 7 · Question 1 part g · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 5 of 7 · Question 1 part g · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Exchange rates: meaning and what moves a currency

Answer 5 of 7 · Question 1 part g · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Number	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **D** reprinting brochures when prices change A is not correct because these are shoe leather costs B is not correct because these are labour costs C is not correct because these are fixed costs	**(1)**

Question Number	Which one of the following is likely to cause demand pull inflation? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the consumption of goods A is not correct because this is likely to result in cost push inflation B is not correct because this is likely to result in lower inflationary pressures D is not correct because this is likely to result in less consumer spending in the economy	**(1)**

Question Number	What is meant by the term imports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to purchase of goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response	**(2)**

4

Type MS · Exchange rates: meaning and what moves a currency

Answer 6 of 7 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Describe the impact on the demand for a currency after an increase in interest rates. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference an increase in demand and 1 mark for reference to investing savings/ rise in exchange rate There is likely to be an increase in demand for the currency **(1)** because foreign savers choose to put their savings in the bank with the higher rate of interest **(1)** Accept any other appropriate response	**(2)**

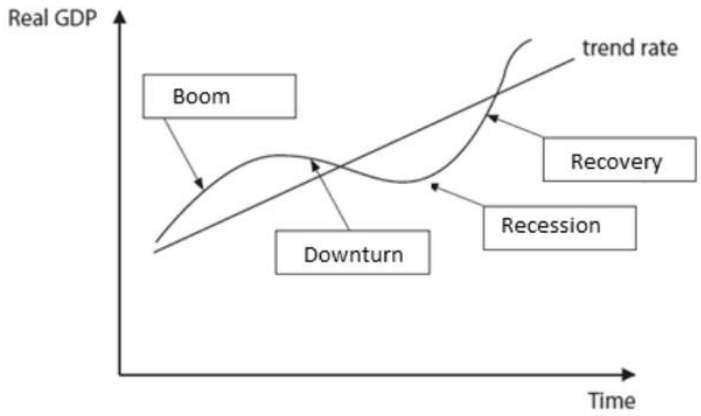
Question Number	Using the data in Figure 1, calculate in CAD$bn, the current account for Canada for the year ending 2020. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation CAD$524bn - CAD$561bn **(1)** Award 1 mark for the correct answer = -CAD$37bn **(1)** Award 2 marks if the correct answer of -CAD$37bn is shown even if no calculations are shown Award 1 mark if -37bn is shown, but with no CAD$ sign, with or without calculations shown Do not award marks for formula	**(2)**

5

Type MS · Exchange rates: meaning and what moves a currency

Answer 6 of 7 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Label the boxes in the diagram below with the three remaining stages of the economic cycle. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for downturn, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Question Number	Explain **one** reason why the Scottish Government gives benefit payments. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to reduce inequality and poverty **(1).** Benefit payments help to assist with meeting basic needs such as heating a home **(1)**. Therefore, more people will be able to have a better standard of living **(1)** Accept any other appropriate response	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Exchange rates: meaning and what moves a currency

Answer 6 of 7 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • Increases in inflation could distort the true rate of economic growth in Singapore and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy as they are not included in GDP figures • GDP does not take into account population changes in Singapore • GDP does not take into account external costs such as environmental costs • As a result GDP does not measure how environmental costs might impact on the wellbeing of society • GDP figures such as 7.2% do not reflect how additional income is distributed between the population of Singapore • The growth may not be evenly distributed amongst the population of Singapore who still may remain in relative poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

7

Type MS · Exchange rates: meaning and what moves a currency

Answer 6 of 7 · Question 1 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	When a central bank buys government bonds from commercial banks it is known as Answer	Mark

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 1 of 7 · find part b in this mark scheme extract

2(a)	**AO11 mark** The only correct answer is: **D** A group of countries that reduce trade barriers between themselves A is not correct because a trade bloc does not require member countries to use the same currency B is not correct because a trade bloc does not necessitate that member countries have the same tax rates C is not correct because often countries have different languages	**(1)**

Question Number	Which **one** of the following best describes the role of currency speculators? **Answer**	**Mark**
2(b)	**AO11 marks** The only correct answer is: **B** They trade currencies to profit from changes in exchange rates A is not correct because they invest in currencies and not bonds C is not correct because they cannot lend money to countries D is not correct because only governments can fix currencies	**(1)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 2 of 7 · find part b in this mark scheme extract

Question Number	State **one** possible role of the World Trade Organization (WTO). **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible role • Trade negotiations • Settling trade disputes • Building membership of the WTO • Monitoring WTO rules are being followed • Persuading countries to reduce tariffs/quotas/trade barriers • To promote free trade Accept any other appropriate responses	**(1)**

Question Number	What is meant by the term economic growth? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A rise in the total value of output/GDP **(1)** over a period of time **(1)** **OR** An increase in the level of output **(1)** by a nation **(1)** Accept any other appropriate response	**(2)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

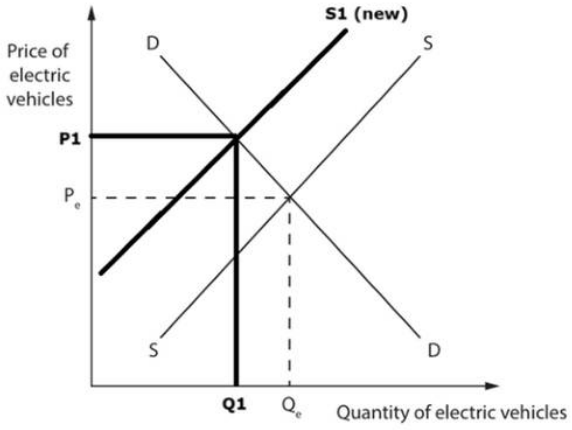
2025 NOV · Paper 02 · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in government spending on benefit payments. **(1)** The government will need to allocate more funds to unemployment benefits **(1)** to support the increasing number of those without work/no income **(1)** Accept any other appropriate response	**(3)**

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 4 of 7 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a left shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 5 of 7 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The central bank of New Zealand's recent reduction in the base rate to 5.25% could encourage businesses to borrow and invest, potentially boosting output in a difficult economic environment • The reduction makes loans more affordable for households, which can directly lead to increased spending and sales for firms • Lower interest rates may stimulate consumer spending, which has been weak, thereby increasing demand for goods and services and driving up production • Expansionary monetary policy can weaken the New Zealand currency, making exports more competitive and increasing output in export-driven industries • Monetary policy adjustments can be quickly implemented, providing a timely boost to economic output which is struggling with rising unemployment and low consumer confidence **AO4** • However, given the ongoing economic difficulties, including weak consumer confidence, the reduction in the base rate from 5.5% to 5.25% may not be sufficient to significantly boost spending and output • The small size of the rate cut may have only a minimal impact on boosting economic activity and increasing output • Firms in New Zealand may remain hesitant to invest despite the rate cut due to uncertainties like rising unemployment and reduced investment activity • Expansionary monetary policy can lead to inflationary pressures, which might offset gains in output by reducing purchasing power • Monetary policy may be less effective if the economy is already at or near full capacity, leading to limited increases in output

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Exchange rates: meaning and what moves a currency

Answer 7 of 7 · Question 2 part b · 1 mark

2025 NOV · Paper 02 · extract 7 of 7 · find part b in this mark scheme extract

Question Number	In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online? **Answer**	Mark